MEASURE X
CITY ATTORNEY'S IMPARTIAL ANALYSIS

The Brisbane City Council placed this Measure on the ballot. If approved by the voters, Measure X would amend the Business License Tax codified at Title 5, Division I of the Brisbane Municipal Code by replacing the current tiered rate structure with a single gross receipts formula, deleting some specialized categories of tax rates and exemptions while retaining others, and updating relevant definitions.

The Business License Tax is a general tax, meaning revenues are deposited into the General Fund and used for general City services. Passage requires approval by a simple majority of voters voting on it.

Under the current tax structure, most businesses pay multi-tiered rates ranging from $50 for businesses with gross receipts of $50,000 or less, to $1,300 plus $0.04 per $1,000 of the business's gross receipts for businesses with gross receipts of $10,000,000 or more. Specified businesses pay the greater of that amount or: (a) a rate based on employee count (for manufacturers, warehouse operators, and businesses headquartered in the City); or (b) a rate based on square footage (for storage facilities). Nineteen other business categories have individualized tax rates.

Measure X would replace the above formulas with a single tax formula for most businesses. A business with gross receipts of $25,000 or less would pay a tax of $50. A business with more than $25,000 in gross receipts would pay $50 plus $1.00 for every $1,000 in gross receipts above $25,000.

Measure X does not alter separate business license taxes that apply to cannabis businesses, hotels, liquid storage facilities, capital improvements and residential construction, outdoor advertising, and recycling business.

Measure X deletes existing tax exemptions for newspapers, charitable or nonprofit organizations, café musicians, real estate auctioneers, veterans, and residential rentals of less than five units.

Measure X clarifies definitions for: (a) "business" to include those without a fixed place of business in the City and those compensated in goods or labor; and (b) "gross receipts" to be the greater of all compensation received or receivable by the business, with specified exclusions, or the business's cost of operations.

The City estimates Measure X would generate approximately $1,000,000 in additional annual revenue.

A "Yes" vote is a vote in favor of the Measure.

A "No" vote is a vote against the Measure. If the Measure is not approved, the current tax structure will remain in place.

DATED: August 14, 2026

Samantha W. Zutler, City of Brisbane City Attorney

The above statement is an impartial analysis of Measure X. The full text of the Measure is available on the City's website at: www.brisbaneca.org. Alternatively, if you would like a copy of the Measure, please call the City Clerk's office at (415) 508-2113 and a copy will be mailed to you at no cost.